

Yale is constantly tactically reallocating, in order to manage risk and take advantage of prevailing market conditions. So how do they do it?

David Swenson, the chief investment officer for the Yale endowment, has dozens of analysts and economists working for him, as well as many specialized investment companies and third-party advisors all providing him input and perspective on how to allocate. Do you have a similar network to help inform your decision-making? If you're like the vast majority of the investing public, the answer is a resounding “No!” That doesn't mean you can't tactically allocate like the pros, but your approach has to be different, since it cannot involve paying a team of high-priced MBAs to do economic research in your guest bedroom. Your approach needs to be simple, and so we will now describe such a simple approach.

A Simple Asset Allocation Model That Works

It seems that every financial expert has a long-term asset allocation plan he recommends to the world. Warren Buffett has been quoted as recommending a long-term 90 percent exposure to the S&P 500 and a 10 percent allocation to cash. Jack Bogle, the founder of the Vanguard, suggests a split between the S&P 500 and a bond index. Mr. Buffett and Mr. Bogle are clearly on the left tail of the simplicity distribution, but other market pros have more interesting recommendations. Two prominent examples include David Swensen (Yale CIO), who we have already discussed, and William Bernstein, a prominent author of investing books.

Two Sample Portfolios

Let's look at the two portfolio options posed by our experts:

David Swensen's Portfolio

- David's book, *Unconventional Success*, argues for a simple portfolio consisting of the following: 30 percent domestic equity, 20 percent foreign equity (15 percent developed; 5 percent emerging), 20 percent real estate, 15 percent inflation-protected bonds, and 15 percent in Treasury bonds.⁵

William Bernstein's Portfolio